

Applicability

Exclusions/Exceptions

- A. Travel Agency Commission Guidance
- B. Group Booking Guidance
- C. Review & Processing of TA Commissions
- D. Deductions at Source
- E. Recognition of TA Commission Liability

Definitions

SOP NUMBER: SOP-OPSFIN-230

Travel Agency Commissions

This Standard Operating Procedure (SOP) relates to the processing of Travel Agency Commissions.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions or exceptions.

A. TRAVEL AGENCY COMMISSION GUIDANCE

- 1) Hilton utilizes a Centralized Commission Program (CCP) to ensure the efficient and timely processing of travel agency commissions. All hotels must participate in CCP, a program run by Distribution Services. This is critical in providing travel agencies with one consolidated weekly payment in their local currency, together with a reporting file of all commission payment for all Hilton family brands and hotels.
- 2) Distribution Services consolidates commissions across all hotels and then disburses payments either via Enhanced Commissions Processing (ECP) or via Travel Agency Commission Settlement ("TACS").
- 3) ECP is an internal central payment platform run by Distribution Services to pay commissions directly to key business partners, thus enabling payment and operational efficiencies for hotels and travel agencies including Meeting Planning Companies ("MPC's") and Online Travel Agents ("OTA's").
- 4) TACS is a third-party payment processor that disburses Hilton's travel agent commissions for transient / individual bookings – i.e. not commissions on groups or, C&E, Conferences and Events. It is important to note that TACS only pays travel agencies what the hotels or Hilton instructs TACS to pay. TACS does not perform commission calculations or amend the hotel's payment records.
- 5) A reservation is deemed eligible for commission if a recognized travel agency (defined in section A3 of this policy) booked this reservation and the guest stayed on an SRP (Special Rate Plan) that Hilton considers commissionable.
- 6) A Travel Agency is recognized if it is a member of an International Industry approved Travel Agent's Organization, and as such has an agency identification number from one of these organizations:
 - a. International Air Transport Association (IATA)
 - b. Airlines Reporting Corporation (ARC)
 - c. Scheduled Airline Traffic offices (SATO)
 - d. Travel Industry Designator Service (TIDS)
 - e. Travel Service Intermediary (TSI)
 - f. Travel Sellers (TS)
 - g. Cruise Lines International Association (CLIA).
- 7) Commissions are to be paid in accordance with the SPI MK-S-4 - Payment of Travel Agent Commissions, Group Commissions & Fast Pay. Non-standard commission arrangements must be approved by the AVP of Sales/Marketing and VP Operations Finance.

Any other revenue from sources such as Conference & Banqueting, upon which commission is paid, must also be approved as a general policy for that hotel or country, by the AVP of Sales/Marketing and Regional VP Operations Finance/ Regional Finance Directors.

B. GROUP BOOKING GUIDANCE

- 1) Group bookings are those in excess of 9 rooms per night.
- 2) Group bookings are paid outside of CCP. The group SRP must be set up as non-commissionable. The group commissions are to be paid via the AP process.

- 3) All receivable balances owed by the applicable client must be paid in full prior to issuing the Group Commission payment.
- 4) Hilton requires that group contracts contain appropriate disclosures of the fact of and the amount of commissions in accordance with SPI-MK-S-19 Disclosure of Commissions, Rebates & Housing Company Costs.

C. REVIEW & PROCESSING OF TA COMMISSIONS

- 1) At the end of each day, the Revenue/Reservations/Front Office Team must print the travel agency activity report for the day from PMS (i.e. "Travel Agency Activity for Today" report in OnQ and "Travel Agency Reservations Commission Status TARCS" report in Opera) to ensure each reservation is set up correctly. The confirmation of review must be included in the Front Office PMS checklist.
- 2) All non-commissionable reservations must be clearly marked as such. The following are not to be processed through CCP:
 - a. Net negotiated rates.
 - b. Group bookings (to be paid by hotel directly).
 - c. Conference and event bookings (to be paid by hotel directly).
 - d. Guest stays billed to the agent, net of commission as per billing instructions from the relevant PMS report (such as the "Due Out" report in OnQ PMS)
 - e. Non-standard commissions to be paid by hotel directly.
 - f. Deductions at Source
- 3) Once the review is complete, forward the reviewed report with instructions for any changes in commissionable status to the Night Auditor or respective Front Office Team Member. Corrective actions should be implemented to ensure that correct commissionable records are transferred nightly to Distribution Services (DS) in Memphis.
 - a. Night auditor amends the records in OnQ via the TAC Maintenance functionality
 - b. Revenue/ Reservations incorporates changes in Opera by either updating the reservation or via a Manual Adjustment Form (MAF).
- 4) The Revenue/Reservations/Front Office Manager must ensure that all corrections are incorporated by re-printing the PMS reports summarizing Travel Agency's commissions for the day (i.e. "Travel Agency Activity for Today" report in OnQ PMS and "Travel Agency Reservations Commission Status TARCS" report in Opera) and checking to ensure that all adjustments have been processed.
- 5) Commission records are automatically transferred to Distribution Services in Memphis where commissions will be calculated and sent for payment.
- 6) Any commission records that have not been correctly amended following transmission to Distribution Services must be amended through a Manual Adjustment Form (MAF) by the Front Office Team Member or the Reservations Team Member and submitted to DS.

A required change to a non-commissionable status would occur when:

 - a. A record on the "TAC for Today Report" incorrectly passed Night Audit as commissionable (e.g. the record was not flagged during the Daily Checks or was missed by the Night Auditor)
 - b. A late check-out that was not included on the "TAC for Today Report" was identified to be changed to non-commissionable the following day

D. DEDUCTIONS AT SOURCE

- 1) In order to facilitate a standard and efficient functioning of the CCP, deductions at source for commission payments are not permitted. Companies and agents shall pay in full and the hotel shall pay the full commission through CCP. All exceptions must be approved by the regional Sales/Marketing and Finance Leadership and the agreement must be in writing with the agent.

- 2) If 'Deduction at Source' commissions is approved then at the end of each day after all due outs are cleared, the Revenue Team should print and review the PMS report for all guests with direct billing privileges (such as "Due Out" report in OnQ and "Travel Agency Reservations Commission Status TARCS" report in Opera. The following must be part of the review:
 - a) The relevant correspondence must be checked to determine if any specific agreements for commission payments have been made and are being handled correctly. These records must be marked as non-commissionable during the daily review.
 - b) Any payments received net of commissions must be validated on receipt to ensure a commissionable record was not transferred to CCP.

E. RECOGNITION OF TA COMMISSION LIABILITY

Monthly, an accrual must be made for all commissions outstanding:

- a. An accurate accrual must be calculated from TAC batches plus cut off days from the last batch. In many instances this may be the entire month.
- b. Additionally, accruals must be made for commissions not paid through CCP.
- c. Once a group has concluded their event, an accrual for their commission must be made.